A2B BANK HOME FINANCE LTD.

Regd. Office: A2B-Head Bank of India Building,
9, Array Hills, M G Road, Mumbai – 400 009

80th Audit Committee Meeting : **Agenda Item No.: 80/1**

Memorandum to the Committee : **23rd July 2018**

Re: Confirmation of Minutes of the 79th Audit Committee Meeting held on 07th May 2018.

The Committee is here by requested to confirm the Minutes of the 79th Audit Committee Meeting held on 07th May 2018. Copy of the Minutes is annexed as **Annexure-I.**

Submitted for confirmation of the Committee.

For A2B Bank Home Finance Ltd.

AJ/-
Harish Naik
Managing Director

A2B BANK HOME FINANCE LTD.
Regd. Office: A2B-Head Bank of India Building,
9, Array Hills, M G Road, Mumbai – 400 009

Corporate Office: A2B-Head Bank of India, Mumbai main office building, 6th floor, MG road, Fort, Flora fountain, Hutatma Chowk, Mumbai 400023.
CIN: U65123MP1991PLC005147

MINUTES OF THE 79th AUDIT COMMITTEE MEETING HELD ON Tuesday, 7TH MAY 2018 AT 10:30 A.M. AT at A2B-Head Bank of India Building, 7th Floor, Chanderi, Nariman Point, Mumbai-400021 in Physical/VC mode.

Present:

1. Mr. John Dias - Chairman
2. Shri P.J. Thomas - Member
3. Mr V. Antony - Member

Special Invitees:

4. Mr. Harish Naik - Managing Director
5. Mr. Chandrabose K - Chief Financial Officer
6. Mr. Abhay Mehta - Chief Internal Auditor

In Attendance :

7. Mr. Sridhar Kulkarni - General Manager

Mr. John Dias took the Chair and welcomed all the members to the 79th Audit Committee meeting. Quorum being present, Chairman called the meeting to order.

Agenda Item No.79/01
Meeting Dated 07/05/2018

Confirmation of Minutes of the78th Audit Committee Meetings held on 30th January 2018.

Minutes of the78th Audit Committee Meeting of the Company held on 30th January 2018 were confirmed by the Committee.

-Confirmed-

Agenda Item No.79/02
Meeting Dated 07/05/2018

To take on record Minutes of 147th,148th, 149th, 150th and 151st XYZA Meetings held on 16/01/2018, 28/01/2018, 09/02/2018, 29/02/2018 and 27/03/2018 respectively.

The Committee is hereby requested to take on record the Minutes 147th ,148th, 149th, 150th and 151st XYZAMeetings held on 16/01/2018, 28/01/2018, 09/02/2018, 29/02/2018 and 27/03/2018 respectively.

Committee expressed its concern about foreclosure of loan accounts in the branches like Bangalore, Indore, Jaipur and Rohtak etc. and enquired reason for loan foreclosure in the month of February 2018. Management replied that it happened mainly for better ROI or higher top up loan amount. So, whenever borrower gets offer of lower ROI, he/she switches over to these FI mainly Bank. Loan Foreclosure/BT is normal phenomenon in industry, Since, Company cost of fund is higher , company is unable to offer such low ROI. However, Company always tries to retain customers,

The committee suggested that data related to accounts taken over by the company from other financial institutions should also be placed in future.

Committee took note of the same.

-Noted-

Agenda Item No.79/03
Meeting Dated 07/05/2018

Action Taken Report on Committee's directions/observations in the7 8 t h Audit Committee Meeting.

The Committee was requested to take note of compliance of Committee's observations/ Directions in78th Audit Committee Meeting.

The Committee took note of the same.

-Noted-

Agenda Item No.79/04
Meeting Dated 07/05/2018

To review performance of the Company for FY 2019-20.

The Committee was apprised with the performance of the Company for the financial year 2019-20.

The total advances of the company has grown by 9.74% to Rs. 1553.43 Cr. as on March 31, 2018 against Rs. 1415.60 Cr. as on March 31, 2019, Deposits of the company have grown by 7.23% to Rs. 587.91 Cr as against Rs. 548.26 Cr as on March 31, 2019. The Gross NPQ of company stood at 58.10 Cr (3.74 %) as against (3.56%) as on March 31, 2019.

CRAR of the company stands at 19.35% against the regulatory requirement of 15% and Net profit after Tax stands at Rs 25.10 Cr against 26.76 Cr as on 31.03.2019.

It was further informed to the committee that new non-life insurance commission income with Bajaj Allianz earned Rs. 12 .24 Lakh as against Rs. 8.43 Lakh as on March 31, 2019.

The Committee showed its dissatisfaction over moderate growth and increase in gross NPQ of the company.

The Committee enquired about huge increase in miscellaneous expenses and detail of amount shown under extraordinary items then CFO clarified that Miscellaneous Expenses comprises of unutilized GST input of Rs 40.25 lakhs of FY 2018-19 as invoice was booked in one state while input reflecting in other state GSTR2B. It had to be utilized by Sept 2019, but could not be utilized within time and got lapsed,

hence booked as expenses. CFO further clarified that amount shown under extraordinary items consists of Unutilized GST Rs 118.10 lakhs prior to 31.03.2018.

The detail of Unutilised input credit is as under:

State	Adjustment Related to Prior Year (Shown under extraordinary items)	GST Expenses (shown under Misc expenditure)	TOTAL
	GST Expenses Unutilized Input till March 31, 20 22	Unutilized Input of FY 22-19	
MP	1,14,66,753.21	12,30,844.12	1,26,97,597.33
MH	38,419.84	26,44,812.06	26,83,231.90
UP	81,007.66	20,948.97	1,01,956.63
GJ	94,296.36	68,684.36	1,62,980.72
KA	1,53,460.42	3,03,554.25	4,57,014.67
RJ	-93,282.84	-33,454.56	-1,26,737.40
DL	71,033.46	-1,15,184.37	-44,150.91
CG	1,02,258.34	-1,51,978.26	-49,719.92
HR	-1,03,536.52	57,339.30	-46,197.22
TOTAL	**1,18,10,409.93**	**40,25,565.87**	**1,58,35,975.80**

Committee took note of the same.

-Noted-

Agenda Item No.79/05
Meeting Dated 07/05/2018

To consider, approve and recommend the Annual Financial Statements of the Company for the year ended 31st March 2018.

A copy of the Balance Sheet as at March 31, 2018, Statement of Profit & Loss and Cash Flow Statement for the year ended 31st March 2018 along with all annexures, notes were placed before the Committee for consideration and recommendation to the Board.

After deliberation, Committee passed the following resolution:

"RESOLVED THAT the Annual Financial Statements for the financial year ended as on March 31, 2018, be and are hereby considered, approved and recommended to the Board;**"**

-Approved and recommended-

Agenda Item No.79/06
Meeting Dated 07/05/2018

To consider, approve and recommend the appropriation of profit to reserves for FY 2019-20.

The appropriation of profits was placed before the Committee for consideration, approval and recommendation as under:

Appropriations (FY 2019-20)	Amount in Rs. (Lakhs)

General Reserve	192.36
Special Reserve (under section 36(1)(viii) of Income Tax Act, 1961)	509.60

Committee enquired whether the appropriation of profits has been done as per statutory requirement. CFO replied that appropriation of profit has been done as per regulatory guidelines.

"RESOLVED THAT the appropriation of the profit for the financial year ended as on March 31, 2018, be and are hereby considered, approved and recommended to the Board;**"**

-Approved and recommended-

Agenda Item No.79/07
Meeting Dated 07/05/2018

To take note of the related party transaction status of the company as on March 31, 2018.

Related Party Transactions of the Company held with A2B-Head Bank of India for the financial year ended 31st March 2018 were placed before the Committee.

Committee took note of the same.

-Noted-

Agenda Item No.79/08
Meeting Dated 07/05/2018

To consider, approve and recommend the Auditor's Report on the Financial Statements for the year ended March 31, 2018.

Draft auditors' report for the year ended March 31, 2018 was placed before the Committee for their perusal and considertion.

The Committee was apprised that the Statutory Auditors of the Company have submitted a Draft Audit Report on the Audited Accounts of the Company for the year ended March 31, 2018 and the same was placed before the Committee. The Committee is requested to consider, approve and recommend the same to Board.

"RESOLVED THAT the Auditor's Report on the Financial Statements for the financial year ended March 31, 2018, be and is hereby considered, approved and recommended to the Board;**"**

Approved and recommended

Agenda Item No.79/9
Meeting Dated 07/05/2018

To consider, approve and recommend the Auditor's Report under Para 69 & 70 of the Master Direction-NBFC HFC (Reserve Bank) Directions, 2021 for the year ended March 31, 2018.

Draft Auditor's Report as mandated under para 69 & 70 of the RBI Master Direction NBFC-HFC (Reserve Bank) Direction, 2021 for the year ended March 31, 2018 was placed before the Committee.

Committee took note of the same.

"RESOLVED THAT the Auditor's Report under Para 69 & 70 of the Master Direction-NBFC HFC (Reserve Bank) Directions, 2021 for the year ended March 31, 2018 be and is hereby considered, approved and recommended to the Board;**"**

Approved and recommended

Agenda Item No.79/10
Meeting Dated 07/05/2018

To take note of Statutory Compliance Certificate for 4th quarter ended 31st March 2018 of FY 2019-20.

A report on statutory compliance for the quarter ended March 31st of FY 2018-19was presented to the Board and it was reviewed by board and noted that there were no non-compliances.

Committee suggested to disclose show cause notice if any received by the company in Compliance Certificate and instructed to mention about the notice received from Reserve Bank Of India regarding section 30 A and 52 A of National Housing Bank Act 1957 – Non compliance with RBI direction in the Statutory Compliance Certificate.

-Noted-

Agenda Item No.79/11
Meeting Dated 07/05/2018

To take note of the NPQ and SERFNESQ Position of the Company as on 31st March 2018.

The Committee was informed about the NPQ and SERFNESQ Position of the Company as on 31st March 2018.

The Committee observed that Gross NPQ has increased by approx. 7.77 Cr. as on 31st March 2018 in comparison to 31st March 2019. The Committee expressed its concern over Slippage of Rs. 22.62 Cr

during the year ended 31st March 2018 which is quite high and advised the Company to control Slippage.

The Committee suggested to strengthen the recovery and taking timely SERFNESQ/PTS/Legal action and focus on the branches where NPQ level is high.

Management replied that Company is making all efforts for recovery in NPQ Accounts through SERFNESQ/PTS/Legal action and expecting better results in current quarter.

The Committee took note of the same.

-Noted-

Agenda Item No.79/12
Meeting Dated 07/05/2018

To take note of the Internal Audit Status of the Company.

The Committee was apprised about the status of internal audit of branches.

The Committee shown its displeasure over the long pending closure of Audit Reports of branches like Nashik, Hyderabad, New Delhi, Indore, Panchkula, Gwalior and Bilaspur and further advised the Head of the audit department to ensure closure of the audit reports and to maintain the Audit timeline strictly as per Policy.

Management assured that long pending audit reports are expected to be closed by 30th June 2018 by ensuring compliance/rectification of reported irregularities as per audit policy.

-Noted-

Agenda Item No.79/13
Meeting Dated 07/05/2018

To take note of Branch-wise major observations in Internal Audit form FY 2019-20.

The Committee was apprised about the major observation of the internal audit FY 2018-19onwards received from Internal Audit Department

The major observation pertains to Branch office Delhi, Hyderabad and Nashik. The major observations are:
1. Fraud detected in two borrower accounts at branch office Delhi,
2. The five loan accounts slipped in NPQ under quick mortality at branch Office Hyderabad.
3. Pending notice of intimation in 21 loan accounts at branch office Nashik.

Management informed that in fraud cases at Delhi, branch has lodged complaint with Police and filing of Recovery suit is under process.

Hyderabad Cases, Recovery process has been initiated under SERFNESQ Act.

Nashik pending NOI cases, Out of 31 pending accounts NOI for 10 accounts have been completed and Services of the staff responsible for non-completion of NOI have been terminated from the company.

The Committee enquired about the progress of the staff accountability in quick mortality and fraud cases, the management informed that the company is facing difficulty in conducting fact finding as per existing guidelines to conduct fact finding by H.O staffs only. The management requested the board to permit them taking the services of the officers posted in branches/ regions/HOs in the rank equivalent or higher than the rank of sanctioning authority who are not involved in processing of that particular loan.

The Committee took note of the major observations and agreed to recommend the Board for modification in Staff accountability policy related to fact finding officer. As this matter of investigation is urgent, if any permission is required it should be taken by circulation if not taken already. Further fraud report has been sent to RBI is also to be confirmed in next ATR

-Noted

Agenda Item No.79/14
Meeting Dated 07/05/2018

To take note of Show Cause Notice received from Reserve Bank of India regarding Section 30A and 52A of National Housing Bank Act 1957- Non-Compliance with RBI direction observed during the statutory inspection.

The Committee was informed about Show Cause Notice dated 12th March 2018 received from Reserve Bank of India regarding Section 30A and 52A of National Housing Bank Act 1957- Non- Compliance with RBI direction observed during the statutory inspection with reference to its financial position as on 31st March 2018. The Committee has submitted reply for the same on 28/03/2018. Board expressed its displeasure over noncompliance of regulatory guidelines and instructed to ensure strict compliance of regulatory guidelines henceforth.

The Committee took note the same and advised to incorporate such show cause notices from regulators and statutory bodies like DCA, NHB, RBI and IT/GST authorities in Statutory compliances certificate placed before the Audit committee and the Board in future

-Noted-

There being no other business, meeting concluded with a vote of thanks to the Chair.

Date AJ/-
Place **Chairman**